COURSE

IB Diploma Programme Business management SL

Profitability and liquidity ratio analysis

Unit 3: Finance and accounts · 3.5 Profitability and liquidity ratio analysis

Revision for Unit 3: Finance and accounts: each firm works it out on its own deals.

Class	Topic
IB Diploma Programme Business management SL	**Profitability and liquidity ratio analysis**

THE LESSON

Setup — 2 min

Round 1 — Decisions 3 min · Deals 5 min · Topic tasks 4 min

Firm decisions	Deals	TASK 1 Current ratio	TASK 2 Raise current ratio

Round 2 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

Firm decisions	Deals	TASK 3 Rank current ratio	TASK 4 Net profit margin	B2B deal

Round 3 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

Firm decisions	Deals	TASK 5 Low acid test ratio	TASK 6 ROCE as a %	B2B deal

Final questions — 3 min

45-minute setting shown. The 30-minute setting has one topic task per round (Tasks 3, 5 and 6) and one B2B deal. 60 and 75 add more deals.

Each step

Firm decisions	Each role makes its decision on its own page.
Deals	Each pupil trades with a classmate in another firm.
Topic task	The firm answers together. Everyone presses Agree.
B2B deal	One firm sells a lot of cars to another firm.
Final questions	Each pupil answers six questions.

Firm decisions

CEO	**Staff**	Hire staff. Each costs a salary and gives one benefit.
	Sabotage FROM ROUND 2	Hit a rival firm's cash, at a cost. A Legal Counsel blocks it.
Sales & Marketing	**Marketing**	Book one advert campaign to lift the next sales.
Finance	**Capital & Loans**	Borrow cash. The firm pays it back with interest.
	Investments	Buy property or funds. The value can rise or fall.
Operations	**Buying**	Hire the Procurement Specialist or the Stock Controller for the round.

B2B deal · Rounds 2 and 3

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

Topic tasks

Each firm gets its own figures. The method is the same for every firm.

Task 1

ROUND 1

Can they pay their bills?

Current ratio? Type the number before ":1".

WORK OUT THE NUMBER · EXAMPLE FIGURES

Current assets	**£60,000**
Owed to suppliers	**£9,200**
Bank overdraft	**£5,800**

METHOD

Current ratio = current assets ÷ (suppliers + overdraft)

£9,200 + £5,800 = £15,000; £60,000 ÷ £15,000 = 4 : 1

Why: They hold £4 of assets for every £1 they owe soon.

Task 2

ROUND 1

Your current ratio is 0.8.

Which two actions would raise it?

PICK TWO

- ○ Buy computers on the overdraft
- ○ Pay suppliers with cash
- ✔ **Sell an unused building for cash**
- ✔ **Swap the overdraft for a 5-year loan**
- ○ Use cash to buy a new ramp

Why: Raise current assets or cut current liabilities, without the other moving.

Task 3

ROUND 2

Three dealers: current assets and current liabilities.

Order by current ratio, lowest first?

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **£45,000 assets, £50,000 debts**
2. **£60,000 assets, £40,000 debts**
3. **£120,000 assets, £60,000 debts**

Why: Ratios 0.9, 1.5 and 2.0.

Task 4

ROUND 2

Last year's accounts.

Net profit margin, as a %?

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

Sales	**£120,000**
Cost of cars sold	**£100,800**
Overheads	**£12,000**

METHOD

Net margin = (sales – cost of cars sold – overheads) ÷ sales × 100

£120,000 – £100,800 – £12,000 = £7,200; ÷ £120,000 = 6%

Why: Net profit is what is left after the cars and the overheads.

Task 5

ROUND 3

Your current ratio is 3.5, but your acid test (quick) ratio is 0.4.

What should you do, and why?

PICK A OR B AND GIVE A REASON

- ✔ **Cut the stock you hold**
- ○ Leave it as it is

Why: Most current assets are unsold stock: cash is tied up in cars.

Task 6

ROUND 3

Last year's accounts.

ROCE, as a %?

WORK OUT THE NUMBER · EXAMPLE FIGURES

Operating profit	**£16,320**
Share capital	**£122,400**
Retained profit	**£40,800**
Non-current liabilities	**£40,800**

METHOD

ROCE = operating profit ÷ (share capital + retained profit + non-current liabilities) × 100

£122,400 + £40,800 + £40,800 = £204,000; £16,320 ÷ £204,000 × 100 = 8%

Why: Every £1 of capital employed earned 8p of operating profit.

Final questions

6
questions for each pupil

109
Level 3 Business questions

3
of them on profitability and liquidity ratio analysis

The game draws the 3 questions on this topic, and 3 more from the 109 Level 3 questions.

1 A campaign produces £160,000 revenue and attributable gross profit of £56,000. What is its attributable gross profit margin?

35%.

2 A dealer has current assets of £180,000 and current liabilities of £225,000. What is its current ratio, and what does it show?

0.8 to 1: short-term debts exceed the assets to meet them.

3 A finance director says the dealer is “liquid enough to get through March”. What does liquidity measure?

Whether short-term debts can be met when due.